FINANCE – ALL PROGRAMS

Cash & Check Handling Procedure

For any cash or check received at any program or event: written down, in the bank fast.

Maa's Inspiration Inc. · 2700 Old Denton Rd, Suite 102, Carrollton, TX 75007 · (469) 270-8156

Who does what

Role	Name	Backup
Depositor (takes the deposit to the bank)	Aslam Hemani	
Recorder (enters the Interim Ledger)	Aslam Hemani	
Reconciler (monthly check)	Aslam Hemani	
Acknowledgment signer (signs donor thank-yous and receipts)	Aslam Hemani	
Approver (approves expenses)	Aslam Hemani	
Bank and branch for deposits	Guarantee Bank	Branch: TBD

The 9 rules

1. **Write a receipt** from the numbered receipt book for every cash gift or payment, and whenever asked. Keep the copy.
2. **Endorse checks right away:** stamp the back “For deposit only – Maa's Inspiration Inc.” Never cash a check.
3. **Log it:** every item goes on the **Deposit Log** (last page).
4. **Lock it up** in the locked cash box, in a locked place, until it is deposited.
5. **Deposit within 2 business days.** The depositor keeps the bank receipt and gives it to the recorder.
6. **No cash at home**, in a car overnight, or in a personal account. No borrowing or making change from your own money.
7. **Do not pay bills from cash.** Expenses are paid from the organization's account, approved, with a receipt.
8. **Record it** in the Interim Ledger (Income and Deposits tabs) within 2 business days, tagged with the program.
9. **Amounts do not match?** Never cover it with your own money. Write the difference on the Deposit Log and tell the approver the same day.

Card gifts (Stripe), reconciliation and thank-you letters

Stripe (online card gifts) – each month

- ☐ Download the Stripe **payouts report** for the month.
- ☐ Match each **Stripe payout** to a bank deposit. Stripe pays out the **net** amount; record the **gross gift** as income and the **Stripe fee** as an expense.
- ☐ Check every gift in Stripe is in the **Income** tab (program tag, donor, date).
- ☐ Note refunds and disputes. Ask the approver about anything you cannot match.

Monthly reconciliation (by the 10th of the next month)

- ☐ The **reconciler** (Aslam Hemani) compares the bank statement to the **Deposits** tab, the Stripe payouts and the **Expenses** tab.
- ☐ Every deposit has a Deposit Log entry and a bank receipt. Every expense has a receipt and an approval.
- ☐ The **Monthly Summary** tab shows income and expenses by program. Differences are explained in writing.
- ☐ The reconciler and the approver sign and date the month (bottom of this page).

Donor thank-you and acknowledgment letters

- Use the **Donor Acknowledgment Letter Templates** (Batch 2, doc 03). Every letter shows **Maa's Inspiration Inc., 501(c)(3), EIN 86-2221897**.
- **Gifts of $250 or more** need a written acknowledgment (IRC §170(f)(8)), stating the amount and whether anything was given in return. We aim to thank **every** donor **within 48 hours**.
- **Payments over $75** where the donor gets something (a dinner, an event ticket): use Letter B with a **good-faith value** of what they received (IRC §6115).
- A Stripe email receipt alone is **not enough** for $250+ gifts. Send the letter too.
- Record the date the letter was sent in the Income tab (column “Ack sent”). Year-end statements go out by **January 31**.
- Non-cash gifts (food, supplies): describe the item, but **do not put a dollar value** on it. That is the donor's job.

Keep the records

Keep deposit slips, bank receipts, receipt-book copies, Stripe reports and letters for **7 years** (Board Policy Pack, record retention). Keep donor details private.

Month reconciled: _____ **Reconciler – signature / date: _____**

Approver – signature / date: _____ **Differences? Y / N _____**

► Needs a decision (Aslam / attorney)

Aslam Hemani handles all cash and checks (receives and deposits). Bank: Guarantee Bank. Aslam Hemani is also the recorder, reconciler and approver. Still to name: the backups and the branch. Note: with one person in every role there is no separation of duties; Mary Khalil, CPA, should review this. Aslam Hemani signs donor thank-yous and receipts. Mary Khalil, CPA, to check the Stripe fee treatment and the acknowledgment wording before first use.

Deposit Log

Deposit log

Date received	Cash $	Checks $	Total $	Deposited (date)	By	Bank receipt ✓	Ledger ✓

Approval and review

Approved by (name / title): _____ Date: _____

Attorney review (name / date): _____ Next review: _____